FINIVESTA

News Letter

July Recap

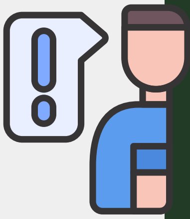
FINANCE FORWARD: WHERE FINANCE MEETS INNOVATION

India's Bond Market Steps Into the Global Spotlight

India has taken a monumental leap onto the global financial stage with its inclusion in JPMorgan's Emerging Market Bond Index (GBI-EM). Holding a maximum 10% weight in the index, India's government securities are set to attract an estimated $20 to $25 billion in passive foreign capital inflows.

Previously, foreign ownership in Indian government bonds hovered below a modest 2%. As international demand shoots up, interest rates attached to these bonds drop, creating a powerful advantage across the economy. Reduced cost of borrowing allows for both government and private companies to secure cheaper funding to expand and innovate.

Finance



How GenAI is Forcing India's Tech Giants to Pivot

India's IT sector faces a major structural test as leading tech giants, including TCS, Infosys, Wipro, and LTIMindtree, have fallen nearly 50% from their all-time peaks. This decline has wiped out roughly ₹19.28 lakh crore in combined market value, driven by two main pressures: a slowing US economy and the fast rise of Generative AI.

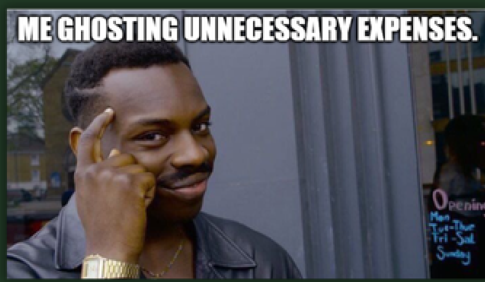
With over 60% of sector revenue tied to North America, when American companies delay tech investments, Indian firms feel the loss immediately. At the same time, GenAI is automating core coding, directly challenging the traditional headcount-driven outsourcing model. To sustain long-term growth, India's IT sector, which powers nearly 8% of national GDP, must rapidly evolve from relying low-cost human labour to building and managing advanced AI solutions.

How Ayushman Bharat is Rewriting Indian Healthcare

India is rapidly building a modern, tech-driven healthcare model that puts quality medical care within reach for millions. At the center of this momentum is Ayushman Bharat (AB-PMJAY). Supported by a government investment of ₹1.82 lakh crore, the scheme has delivered institutional care to over 120 million beneficiaries, easing the financial burden on families nationwide.
The digital health footprint is growing just as fast. Over 950 million people now have an ABHA digital health ID, linking more than a billion medical records online. Add in more than 10 lakh registered doctors and over a lakh local wellness centers running mass screenings for problems like diabetes and hypertension, and the future of Indian healthcare is looking smarter and far more connected.

Why Spending Less Is the Ultimate Flex

Financial advice often sounds boring: stop spending, skip fun, save everything. But living below your means isn't about deprivation it's about creating options. Spend less than you earn so you have money to invest and build freedom. Before graduation, focus on building an emergency fund, starting early with investing, and avoiding lifestyle creep. Your first paycheck doesn't need to upgrade your entire lifestyle. Keep your expenses low, invest the difference, and let compound growth work for you. Real financial power isn't about looking rich—it's about having the freedom to make choices.



The Psychology of the Herd

Markets move on human psychology. When a stock surges, our brains rely on social proof, assuming the crowd knows something we don't. Driven by the fear of missing out (FOMO), we buy at the top just because everyone else is.
We saw this behavior during the 2021 tech rally and the meme stock frenzy, when many investors piled into soaring stocks while paying little attention to cash flows or valuations. The psychological need to belong often outweighs disciplined analysis.
When sentiment shifts, however, the same herd mentality works in reverse. Optimism quickly turns into panic, and a modest pullback can snowball into a widespread sell-off as investors rush for the exits.
Recognizing these subtle cognitive traps, like trusting crowd noise over raw balance sheets, is key to staying rational when the market gets emotional.

The Long Shadow of a Falling Rupee

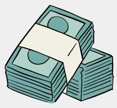
The Indian rupee recently dipped toward ₹95.40 per US dollar, driven by strong dollar demand from oil importers and broader Asian currency weakness. High crude oil import bills, steady demand for foreign currency, and global economic shifts suggest pressure on the rupee is here to stay.
While central bank interventions can smooth out sudden drops, they cannot reverse broader market trends.
For everyday consumers, a prolonged weak rupee means imported inflation will linger. Higher transport, fuel, and raw material costs will keep trickling down into daily shopping bills. To keep overall prices in check, interest rates and loan EMIs may stay elevated for longer, making this slump a continuing factor for household budgets.

The real cost of a weak monsoon

Nearly half of India's farmland relies directly on rain, making the annual monsoon a major driver of food prices and overall economic health. When dry conditions like El Niño weaken the rainy season, the impact reaches far beyond the farm.

A significant shortfall in rainfall reduces crop yields, dragging down farm incomes and rural spending across the country. As supply tightens, the reduced harvest pushes up grocery prices, meaning a dry season quickly translates into higher food bills for everyday consumers. If food inflation lingers, central bankers may hold interest rates higher for longer to keep overall prices in check.

The Era Of Cheap Money Coming To An End: Moody's



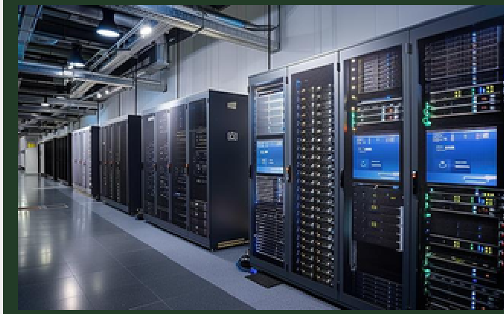
For over a decade following the 2008 financial crisis, global markets operated under an environment characterized by historically low interest rates and abundant liquidity. However, according to a recent analysis by Moody's Ratings, the structural foundation of cheap money has dissolved.

For years, central banks kept interest rates near zero to stimulate economic growth. This allowed companies to borrow cheaply, expand rapidly, and manage debt with minimal friction. But with central banks hiking rates to combat inflation, that financial safety net has disappeared. The bottom line: borrowing is no longer cheap, and financial decision-making across all levels will need to account for higher long-term capital costs.

Section 54 Explained: The Ultimate Cheat Code for Property Sellers

Selling a residential property often comes with a major catch: tax on your profits. If you hold a home for more than 24 months, the profit is categorized as Long-Term Capital Gain (LTCG). Fortunately, Section 54 of the Income Tax Act offers a legitimate way to reduce that tax bill to zero by reinvesting your gains back into homeownership. If you sell a residential house and use the profit to buy or build another residential home in India, you don't have to pay LTCG tax on the reinvested amount. You may either buy a home 1 year before or within 2 years after the sale date or you may construct a home within 3 years from the sale date. The maximum tax exemption under Section 54 is capped at ₹10 Crore.

Section 54 exists to encourage reinvestment in housing. Planning your property sales around these timelines ensures you keep your capital working for you rather than handing a large chunk over in taxes.

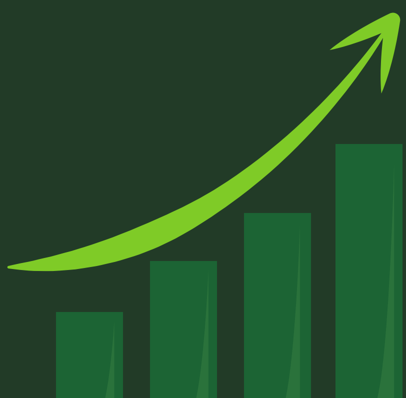


China and 28 Nations Launch WAICO to Challenge Western Dominance in AI

There's a new global AI club in town, and it's not headquartered in Silicon Valley or Geneva.
Twenty-nine countries just signed on to create WAICO, the World Artificial Intelligence Cooperation Organization, based in Shanghai. For many developing countries, talking about theoretical AI risks isn't as urgent as getting access to actual GPUs, training models, and tech infrastructure. This is where WAICO steps in, it promises to give Global South nations cheaper access to AI models, hardware, and training programs in exchange for adopting open cooperation under a state-led framework. The world is officially dividing into two major AI camps: Western initiatives focused on strict safety controls and proprietary tech, versus WAICO offering open-source access and infrastructure.

Semicon 2.0: Transforming India from Chip Assembler to Semiconductor IP Powerhouse

You've probably heard about the global chip shortage over the last few years, everything from your smartphone to your electric car needs semiconductors to function. India launched the first phase of its chip mission a few years back to get global factories built locally. Now, Semicon 2.0 is taking things to the next level. Backed by a massive ₹1.27 lakh crore budget, the government isn't just trying to assemble chips designed somewhere else, it wants India to design, build, and own the tech from top to bottom.
With the global semiconductor market projected to cross $1 trillion by 2030, Semicon 2.0 aims to ensure India captures a significant share of the global technology stack rather than relying solely on imported components.



The Millionaire Next Door Cheat Sheet: Dr. Stanley's Big Financial Lessons

If you think all millionaires live like movie stars, Dr. Thomas J. Stanley's research is a major reality check. After interviewing thousands of actual millionaires, he found that real wealth is usually quiet, frugal, and surprisingly simple.
In his Wisdom Words writings, Stanley shares the mindset shifts needed to build long-term security. The biggest one? Stop trying to look rich.

The 7 Secrets of Everyday Millionaires

1. They're cheap (in a good way): They live well under their means and avoid lifestyle creep.
2. They track their cash: They treat their personal finances like a business, budgeting time and money.
3. Freedom > Status: They'd rather have a healthy investment account than a brand-new luxury car.
4. They built it themselves: No trust funds or constant parental bailouts involved.
5. They raise capable kids: They don't spoil their adult children with financial handouts.
6. They spot good deals: They know how to identify smart investments and business opportunities.
7. They picked the right game: They chose careers or businesses where effort directly translates into equity.

Real financial freedom isn't about flexing high salaries or expensive watches. It's about building a defensive financial system so you never have to worry about money again.

Want more stories and insights? Click below to visit our website

SEE YOU NEXT MONTH!